CASE STUDY

Dr Arun Kumar, 38
Owner and MD, Arogya Multi-Specialty Hospital
Sultanpur, Uttar Pradesh

Stuck in a Maze

Dr Kumar had always dreamt of building a 30-bed hospital in Semri Bazar in Uttar Pradesh's Sultanpur district, where it would be the only facility of its kind within a 10-km radius. Construction began in 2019, and with it a series of never-ending nightmares—of getting approvals, including registration under the Clinical Establishments Act, licensing and registration from the state health department, approval from the chief medical officer, a pharmacy licence, fire safety clearance, labour cess, and water and electricity approvals, among others.

The most frustrating was complying with biomedical waste management regulations. By law, hospitals must partner with a government-approved agency, which charges Rs 7 per bed per day—a fee Dr Kumar felt was excessive. There was duplication of processes and responsibilities, too—Kumar had to register separately with the UP Pollution Control Board. Obtaining approval for the Ayushman Bharat Yojana, which offers free treatment to eligible beneficiaries, was another ordeal. As was the process of acquiring the Registry of Hospitals in the Network of Insurance (ROHINI) certificate.

"The compliance maze discourages new players, especially in rural areas, from taking up initiatives that could transform healthcare accessibility"

The outcome? The project was delayed by a whole year. Even after the hospital became partially operational in 2022, the compliance challenges continued. The latest is notices from government departments for not maintaining the attendance records of construction workers, a rule Dr Kumar says he wasn't even aware of.

Pahwa, chairman of the New Delhi-based Pahwa Group, has companies across six continents and 10 manufacturing units. Among them is a 30-year-old company in Malaysia and a 20-year-old one in China, but he hasn't heard any employee complain about being harassed by officials in those countries. The experience in India is vastly different. "It is like economic terrorism," he says. He recalls how despite GST audits being completed and cleared, a certain section in the GST law was invoked to open the books of past years.

Even if the government has in the past few years made licensing simpler for businesses by removing several approvals, ease of doing business will remain elusive until officials stop knocking on factory doors for audits and inspections, says the business community. For example, getting a construction licence to build a factory has become simpler as the architect can now pass the drawing himself. But he still cannot issue the completion certificate; that has to come from the authority post an inspection. This allows inspectors to withhold file approvals on the slightest pretext, becoming a source of harassment for businesses.

"On an average, you need a minimum runway of one year to start a business, as India still needs to digitise approvals and permit systems"

– VIKRAM ANNAPPA
MD, Aequs INFRA



For labour-related reforms, there is integration of the e-Shram portal with other platforms for a comprehensive service offering to labour, including employment and skilling services, and the revamping of the Shram Suvidha and Samadhan portals to ease compliance for industries. But more needs to be done. A Mumbai-based builder says that each extra layer of compliance means more red tape and additional palms to be greased. These costs are eventually passed on to the end consumer, who shoulders a 'compliance burden' of around Rs 1,000-1,500 per square feet. "The other problem is that our land titles are antiquated and their databases and records not linked with each other," he points out, stressing the need for a single-window system spanning all departments.

The Long Road to Deregulation

In his Economic Survey, Nageswaran outlined the reforms for land and labour. In land, he proposed improvement in land administration, planning and management, including digitising land records and updating urban planning systems. In labour, he advocated simplifying compliance procedures, greater flexibility in hiring and firing practices and improving social security measures for workers. The FM initiated some of these "next generation reforms" in land and labour. The planned land-related reforms and actions in both rural and urban areas are expected to focus on two key aspects: improving land administration, planning and management, and updating urban planning, land usage and building bylaws. The rural reforms include the introduction of a Unique Land Parcel Identification Number (ULPIN) or Bhu-Aadhaar, digitisation of cadastral maps (showing the extent, value and ownership of land, especially for taxation), survey of map subdivisions, setting up a land registry and linking it to the farmers' registry. Urban reforms include the digitisation of